

Prepayment and Foreclosure Policy

Lock-in Period

All loans carry a lock-in period of 6 months from the date of first disbursement. No part-prepayment or foreclosure request will be accepted during this period, regardless of the amount offered. Requests submitted before the lock-in ends are auto-rejected by the servicing system and the customer is notified by SMS and email within 24 hours.

Part-Prepayment Charges

After the lock-in period, customers may make part-prepayments (paying down principal without closing the loan) subject to the following:

- Floating-rate loans to individual borrowers: no part-prepayment charge, as per RBI guidelines.
- Fixed-rate loans: a part-prepayment charge of 2% of the prepaid amount applies.
- A minimum part-prepayment amount of Rs. 10,000 applies per request.
- Maximum of 4 part-prepayment requests are allowed per financial year.

Foreclosure Charges

Foreclosure (full and final closure of the loan before tenure end) charges are as follows:

- Floating-rate loans to individual borrowers: 0% foreclosure charge after the 6-month lock-in.
- Fixed-rate loans: 4% of the outstanding principal if foreclosed within the first 24 EMIs, and 2% thereafter.
- Business loans (non-individual borrowers): a flat 3% foreclosure charge applies regardless of tenure completed, plus applicable GST at 18%.

Foreclosure Process

1. Submit a foreclosure request via the IIFL mobile app, website, or nearest branch, at least 7 working days before the intended closure date.
2. IIFL will share a foreclosure statement showing the exact payoff amount, valid for 7 days from issue.
3. Payment must be made via NEFT/RTGS, demand draft, or cheque in favour of "IIFL Finance Ltd." Cash payments above Rs. 50,000 are not accepted for foreclosure.
4. Once payment is realised, the loan is closed within 3 working days and a No Dues Certificate (NDC) is issued within 15 working days.

Documents Required

- Loan account statement request (optional, to verify outstanding balance)
- Original loan agreement copy (for physical document return, if applicable)
- PAN card and address proof for identity verification

- For property-linked loans, original property documents are returned within 30 days of NDC issuance, or 60 days if the property is in a different city than the originating branch.

For any foreclosure amount disputes, customers should contact their relationship manager or the grievance cell; general queries can be answered from this document, but disputes over the payoff figure itself must be escalated to a human agent for account-specific verification.